

Amendment No. 2 to HB1673

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 1595*

House Bill No. 1673

by inserting the following new section immediately preceding the last section and renumbering the subsequent section accordingly:

SECTION __. Tennessee Code Annotated, Section 7-82-201(b), is amended by deleting the subsection and substituting:

(b) A nonprofit property owners' association whose membership is constituted by at least six thousand (6,000) owners of lots, which owns, operates, or maintains water or sewer service systems for the exclusive use of the association, and which is unable to obtain such services from the local utility district, may petition the county mayor of the county in which the association is located for incorporation of the association as a utility district. If the association is located within the service area of an existing utility district that does not provide both water and sewer service, the association may petition the county mayor for exclusion from such utility district and for recognition and incorporation as a separate and independent utility district providing the service that the existing district does not provide. The association, once designated as a utility district, continues to own, operate, or maintain water or sewer service systems for the exclusive use of its property owner members. The commissioners of a utility district incorporated pursuant to this subsection (b) are the board of directors of the association, as long as the members of such board are elected by a vote of all the property owners in the association. If the members of the board of directors of the association are not elected by vote of the property owners, then the commissioners must be appointed by the

county mayor as set forth in § 7-82-307. Commissioners serve in office until their successors are elected and qualified.